

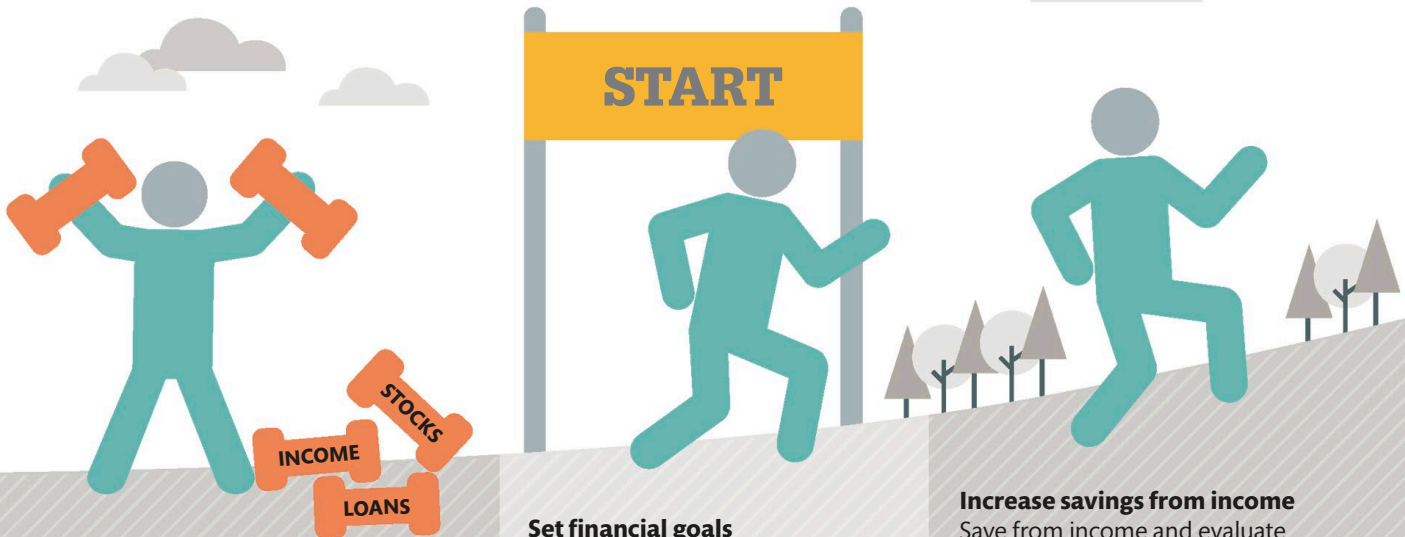


Worth, wealth, and income

Wealth is a measure of the value of the assets owned by an individual, group, or country. An individual's net worth is the value of any assets owned, minus any debt owed or personal liabilities. Income is earned through working and can also be gained from assets owned. Being aware of their net position can make it much easier for individuals to set financial goals, establish effective investment strategies, and achieve financial independence on or before retirement.

Planning for financial independence

To gain financial independence a person must have sufficient money to be able to pay their living expenses without work, for example after retirement. This can be achieved by saving and investing well, so accumulating enough wealth to live on, or by generating a passive income that will continue paying out when retirement age is reached.



Assess situation

Calculate the value of assets such as cash, stocks, bonds, property, and retirement funds. Then subtract liabilities—loans, credit card debts, and mortgage. *See pp.152–153*

Set financial goals

Start by establishing retirement age. Assess how much income will be needed to maintain a good standard of living in retirement.

Increase savings from income

Save from income and evaluate savings regularly to ensure they are performing efficiently—the higher the yield, the better chance of reaching the financial goal. *See pp.154–155*